

Summit Retail Supply Co — Quantitative Diligence Memo

Prepared for: Buy-Side Diligence File | September 16, 2026 | Industry benchmark set: E-Commerce / Retail Supply

Uses synthetic data modeled on a small e-commerce retailer; no client or employer data included. See data/synthetic/fraud_co/.

OVERALL FLAG: RED

Governing Thought

Summit Retail Supply Co shows 8 red-severity flag(s) that should be resolved before this deal proceeds on its current terms. On the numbers: FY2024 revenue of \$4,950,000, gross margin 48.0%, and Adjusted EBITDA of \$1,138,250 (23.0% margin).

Flag Summary (Situation → Complication → What It Means)

Flag	Severity	Headline
Revenue recognition risk	RED	Receivables growing faster than revenue, FY2022→FY2023
Revenue recognition risk	RED	Receivables growing faster than revenue, FY2023→FY2024
Expense-timing shift	RED	COGS-to-revenue ratio dropped sharply, FY2023→FY2024
Related-party transaction	YELLOW	Related-party expense of \$130,000 in FY2023
Related-party transaction	RED	Related-party expense of \$210,000 in FY2024
Working capital near transaction date	RED	Payables stretched in the final period (FY2024)
Working capital near transaction date	RED	Owner distributions of \$1,489,388 in FY2024 (131% of Adjusted EBITDA)
Inventory / COGS coherence	RED	Days inventory outstanding increased 90%, FY2023→FY2024
Customer concentration	RED	Top customer is 48% of FY2024 revenue

Financial Snapshot

Metric	FY2022	FY2023	FY2024
Revenue	\$4,100,000	\$4,520,000	\$4,950,000
Gross margin	37.0%	38.0%	48.0%
EBITDA	\$579,500	\$608,400	\$1,103,250
EBITDA margin	14.1%	13.5%	22.3%
Adjusted EBITDA	\$604,500	\$638,400	\$1,138,250
Adjusted EBITDA margin	14.7%	14.1%	23.0%
Net income	\$512,400	\$542,880	\$1,038,300
Working capital	\$370,473	\$497,108	\$744,443
Operating working capital	\$201,473	\$342,108	\$627,443

Current ratio	2.28x	2.51x	2.27x
DSCR (Adj. EBITDA basis)	8.64x	9.53x	17.79x

Quality-of-Earnings Addback Worksheet

Adjusted EBITDA below reflects only the addbacks with a documented, itemized rationale. Related-party expense is intentionally excluded from this worksheet and handled instead as a flag requiring verification -- see Flag Summary.

FY2022

Line	Amount	Confidence / Rationale
EBITDA	\$579,500	Net income + interest + tax + D&A
Owner/officer compensation above market replacement rate	\$25,000	[requires verification] Owner compensation of \$145,000 exceeds the assumed market replacement rate of \$120,000 by \$25,000. Addback assumes a new operator would be paid at market rate; confirm against a role-specific compensation benchmark before relying on this number.
Adjusted EBITDA	\$604,500	Adjusted EBITDA margin: 14.7%

FY2023

Line	Amount	Confidence / Rationale
EBITDA	\$608,400	Net income + interest + tax + D&A
Owner/officer compensation above market replacement rate	\$30,000	[requires verification] Owner compensation of \$150,000 exceeds the assumed market replacement rate of \$120,000 by \$30,000. Addback assumes a new operator would be paid at market rate; confirm against a role-specific compensation benchmark before relying on this number.
Adjusted EBITDA	\$638,400	Adjusted EBITDA margin: 14.1%

FY2024

Line	Amount	Confidence / Rationale
EBITDA	\$1,103,250	Net income + interest + tax + D&A
Owner/officer compensation above market replacement rate	\$35,000	[requires verification] Owner compensation of \$155,000 exceeds the assumed market replacement rate of \$120,000 by \$35,000. Addback assumes a new operator would be paid at market rate; confirm against a role-specific compensation benchmark before relying on this number.
Adjusted EBITDA	\$1,138,250	Adjusted EBITDA margin: 23.0%

Anomaly Detail

RED — Receivables growing faster than revenue, FY2022→FY2023

Accounts receivable grew 98% while revenue grew 10% from FY2022 to FY2023, a gap of 88 points. Days sales outstanding moved from 10 to 18. Confirm collections activity and test a sample of invoices dated late in the period against cash receipts before accepting reported revenue at face value.

fiscal years	FY2022→FY2023
revenue growth pct	10.2
ar growth pct	98.4
gap points	88.2
dso prior	10.0
dso current	18.0

RED — Receivables growing faster than revenue, FY2023→FY2024

Accounts receivable grew 113% while revenue grew 10% from FY2023 to FY2024, a gap of 103 points. Days sales outstanding moved from 18 to 35. Confirm collections activity and test a sample of invoices dated late in the period against cash receipts before accepting reported revenue at face value.

fiscal years	FY2023→FY2024
revenue growth pct	9.5
ar growth pct	112.9
gap points	103.4
dso prior	18.0
dso current	35.0

RED — COGS-to-revenue ratio dropped sharply, FY2023→FY2024

Cost of goods sold fell from 62.0% of revenue in FY2023 to 52.0% in FY2024, an improvement of 10.0 points with no documented pricing or sourcing change on file. Gross margin expansion this sharp, right before a sale process, warrants verifying that period-end costs were not deferred or reclassified below the line.

fiscal years	FY2023→FY2024
cogs pct prior	62.0
cogs pct current	52.0
drop points	10.0

YELLOW — Related-party expense of \$130,000 in FY2023

FY2023 includes \$130,000 in related-party expense (2.9% of revenue). This was intentionally left out of the Adjusted EBITDA addback worksheet -- related-party terms may or may not be at arm's length, and assuming they're fully avoidable would overstate normalized earnings. Obtain the underlying agreement and confirm pricing against a market comparable before any addback is considered.

fiscal year	2023
related party expense	130000.0
pct of revenue	2.88

RED — Related-party expense of \$210,000 in FY2024

FY2024 includes \$210,000 in related-party expense (4.2% of revenue). This was intentionally left out of the Adjusted EBITDA addback worksheet -- related-party terms may or may not be at arm's length, and assuming they're fully avoidable would overstate normalized earnings. Obtain the underlying agreement and confirm pricing against a market comparable before any addback is considered.

fiscal year	2024
related party expense	210000.0
pct of revenue	4.24

RED — Payables stretched in the final period (FY2024)

Days payable outstanding reached 68 in FY2024 versus a 29-day average in prior years, a stretch of 39 days. Delaying vendor payments right before a sale inflates trailing cash and reported working capital without changing the underlying business -- confirm the post-close working capital peg accounts for this, or expect a true-up.

fiscal year	2024
dpo final year	68.0
avg dpo prior years	29.0
spike days	39.0

RED — Owner distributions of \$1,489,388 in FY2024 (131% of Adjusted EBITDA)

Owner distributions of \$1,489,388 in FY2024 equal 131% of that year's Adjusted EBITDA, taken in the same period the business is being marketed for sale. This does not change normalized earnings power, but it does mean cash was pulled out ahead of close -- confirm the purchase agreement's cash-free, debt-free mechanics and working capital peg reflect this, not the pre-distribution balance.

fiscal year	2024
owner distributions	1489388.0
adjusted ebitda	1138250.0
pct of adjusted ebitda	130.8

RED — Days inventory outstanding increased 90%, FY2023→FY2024

Days inventory outstanding moved from 50 to 95 days (+90%) between FY2023 and FY2024 without a matching revenue or sourcing change on file. This size of swing is more consistent with a count adjustment, a costing change, or unrecorded shrink than with normal operations -- a physical count reconciliation is warranted before closing.

fiscal years	FY2023→FY2024
dio prior	50.0
dio current	95.0
pct change	90.0

RED — Top customer is 48% of FY2024 revenue

The largest customer represented 48% of FY2024 revenue (top three: 75%, HHI 3318). Retention risk on this account should be underwritten explicitly -- get contract terms, tenure, and a reference call before assuming this revenue transfers with the business.

fiscal year	2024
top1 pct	48.0
top3 pct	75.0
hhi	3318.0

Benchmark Positioning

Ranges are compiled from publicly available small-business benchmarking sources (RMA Annual Statement Studies category medians, IBISWorld-style industry reports) and are directional only. Being outside a range is context, not automatically a flag.

Metric	Company (latest FY)	Benchmark low	Benchmark high	Position
gross margin	48.0%	30.0%	55.0%	within range
ebitda margin	22.3%	5.0%	15.0%	above range
current ratio	227.3%	100.0%	220.0%	above range
dso days	35 days	2 days	15 days	above range

Customer Concentration

FY	Top customer %	Top 3 %	HHI	# Customers
2022	40.0%	69.0%	3006	3
2023	44.0%	72.1%	3133	3
2024	48.0%	75.0%	3318	3

Methodology and Data Lineage

Source statements were parsed and mapped onto a fixed canonical chart of accounts using exact-match, fuzzy-match, and (where configured) LLM-assisted classification. 0 line item(s) across the reviewed periods were mapped with less than full confidence or require manual review; see mapping_table.csv in this run's output folder for the complete, human-auditable mapping.

This memo is a quantitative first pass. It does not substitute for legal review, bank/lender confirmations, tax return reconciliation, or management interviews.

Appendix: Full Ratio Backup

Metric	FY2022	FY2023	FY2024
COGS	\$2,583,000	\$2,802,400	\$2,574,000
Gross profit	\$1,517,000	\$1,717,600	\$2,376,000
Operating expenses (incl. D&A)	\$977,500	\$1,153,200	\$1,321,750
Current assets	\$659,641	\$825,586	\$1,329,373
Current liabilities	\$289,168	\$328,478	\$584,930
Days sales outstanding	10	18	35
Days payable outstanding	28	30	68
Days inventory outstanding	45	50	95